EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley called the Itawes Region and composed of 32 barangays. The Municipality which is under the third Congressional District of Cagayan has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2016, the Municipality of Tuao had a total of 499 personnel complement, consisting of 50 permanent, 11 elective, 2 co-terminus, 17 casual, 13 consultants, 9 contract of service and 397 job order status.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2016 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2016 with comparative figures for CY 2015, are as follows:

	2016	2015	Increase (Decrease)
Financial Position			
Total Assets	₱ 289,507,773.95	₱257,517,576.85	₱ 31,990,197.10
Total Liabilities	34,231,748.27	34,514,884.32	(2,540,238.22)
Total Government Equity	255,276,025.85	223,002,692.53	34,514,884.32
Financial Performance			
Total Income	157,712,545.29	139,215,942.71	18,496,602.58
Total Expenses	132,995,224.08	123,980,185.67	9,015,038.41
Appropriations, Allotments and Obligations			
Total Appropriations – Current	165,410,855.43	140,035,481.78	24,577,373.65
Total Obligations - Current	116,245,560.69	111,943,291.96	3,718,277.95
Total Appropriations – Continuing	30,432,779.18	20,557,158.20	9,875,620.98
Total Obligations - Continuing	8,407,956.14	9,156,394.84	(748,438.70)

The Municipality received fund transfers from other agencies totaling ₱27,234,896.19 and there were no funds transferred to other agencies during the year, with comparative figures for CY 2015, to wit:

	2016	2015	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱26,934,896.19	₱22,681,625.00	₱4,253,271.19
Local Government Units	-	-	-
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Others	300,000.00	-	300,000.00
Total	**₱27,234,896.19**	**₱22,681,625.00**	**₱4,553,271.19**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	-	-	-
NGOs/POs	-	-	-
Others	-	-	-
Total	**₱ -**	**₱ -**	**₱ -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Tuao for the year-ended December 31, 2016 due to the following:

1. Unreconciled difference of ₱22,248,606.31 in the Cash in Bank account per balances recorded in the General Ledger against balances confirmed by depository banks as a result of the continued non-preparation of Bank Reconciliation Statements to establish the reliability and accuracy of the Cash in Bank – Local Currency- Savings Account of ₱96,294,895.60.

2. Inadequate accounting and property records to ascertain the propriety and reliability of the recorded Property, Plant and Equipment account totaling ₱183,203,393.14. Due to inadequacy of records and documents we were not able to satisfy ourselves as to the carrying value of properties as at December 31, 2016.

D. Summary of Significant Observations and Recommendations

1. **Unreasonable delays in the completion of the Construction of Level II Water System and Drainage Canal System with a total contract amount of**

₱9,466,250.78 and the Construction of Drainage Canal System located at Tuao East and West with a total contract amount of ₱3,766,612.82 due to Management's inability to undertake remedial measures to avert delays in the construction.

We recommended that management make a judicious and thorough evaluation of the project construction of water system and initiate necessary steps to forestall further delays in its completion. Require the contractor to of the drainage canals to complete the projects and if needed demand for the payment of liquidated damages as a result of the delays in the fulfillment of the contract.

2. **Accumulation of undeposited collections ranging from ₱237,684.66 to ₱3,880,400.14 or averaging monthly at ₱1,116,224.32 because the Office of the Municipal Treasurer did not deposit all collections daily and intact.**

   We strictly recommended that the Municipal Treasurer exercise utmost care in safeguarding the funds of the Municipality by depositing all collections daily and intact.

3. **Expanded Withholding Tax equivalent to ₱139,000.00 was not properly remitted to the Bureau of Internal Revenue (BIR) as a result of the non-withholding of the applicable taxes from payments to consultants totaling ₱1,390,000.00.**

   We recommended that the Municipal Accountant withhold the corresponding tax on income payments made to consultants and properly remit the same to the BIR.

4. **Unexpended balance of the Quick Response Fund (QRF) and the Disaster Risk Reduction Management Fund – Maintenance and Other Operating Expenses (DRRMF-MOOE) totalling ₱3,051,052.86 remained in the General Fund as of December 31, 2016 due Management's failure to effect the transfer to a Special Trust Fund under the account "Trust Liability-DRRM" in the Trust Fund books.**

   We strictly recommended that management immediately transfer the unexpended balance of the DRRMF to a Special Trust Fund as prescribed by COA Circular No. 2012-002.

E. Status of Implementation of Prior Years' Audit Recommendations

Out of the forty-one audit recommendations embodied in the 2015 Annual Audit Report, nineteen were implemented, fifteen were partially implemented and seven were not implemented.